It’s pretty simple really: the more fees the fund manager takes, the less you make.

Let’s beat them. Here’s how:

When my 15-year-old twin nephews went super shopping, they came to me for help.

(Actually, that’s not true: they weren’t looking for super, and they didn’t come to me for help. But hey, I’m their uncle, so why wait for an invitation?)

First, I suggested they invest their money 100 per cent in shares, just like I told you. And to keep costs low plus get broad diversification, they should invest in ‘index funds’ that automatically buy all the companies that make up a share market index, and track the market.

I recommended they split it half and half between Aussie shares and international shares:

Fifty per cent in 200 of the largest businesses in Australia—like the banks, BHP, Sydney Airport, Telstra, Woolies and CSL.

Fifty per cent in 1582 of the world’s largest businesses—like Apple, Facebook, Amazon, Nike and Nestlé.

To illustrate how powerful investing in the share market is, let’s you and I jump in Marty McFly’s DeLorean and head back in time to 1970.

Let’s say we invest $10 000 into a broad-based Aussie share fund, and leave it there. Over the next 48 years, there will be a lot of things to completely freak out about:

- the Black Tuesday stock market crash (1987)
- the Asian financial crisis (1997)
- the Tech Wreck (2000)
- the Global Financial Crisis (2008)
- Barnaby Joyce being appointed Shadow Finance Minister (2010).